

Hon Hai Precision Industry 2317.TW 2317 TT

EQUITY: PC HARDWARE

Better AI outlook with strong OP margins

AI continues to lead the growth, with potential share gains in neocloud and TPU customers; maintain Buy

Action: Maintain Buy; TP raised to TWD435, implying ~61% upside

We raise our 2026F/27F/28F earnings for Hon Hai (HH) by 12.8%/23.4%/24.9% (*Fig. 2*) due to its better than expected opex control, which was reflected in 1Q26 / 2Q26 results, and the stronger demand from networking, CPU/general servers, and AI. We believe HH will likely benefit from the order upsides from neoclouds, as they will likely seek for direct purchases from ODMs after growing up in scale (see *our report*). Further, as highlighted in *our 9 Aug report*, we believe Google (GOOGL US, NR) is in talks with Taiwan ODMs for TPU L6 and L11 orders, and HH is likely well positioned to receive incremental orders, given its existing collaboration with Google in Axion CPU trays and AI racks. We reiterate Buy, and raise TP to TWD435, based on 17x (unchanged) 2027F EPS of TWD25.57 (vs prior TP of TWD352 based on 17x 2027F EPS of TWD20.72; 17x is above the high-end of HH's past 10-year P/E range of 5-15x). The stock currently trades at 11x 2027F P/E.

2Q26 results: solid beat on margins; reiterates AI-related guidance

HH reported 2Q26 EPS of TWD4.27 (+20.1% q-q, +35.2% y-y; *Fig. 1*), beating Bloomberg consensus by 5.5%. Its 2Q26 GM/OPM reached 6.1%/3.75% (vs 6.2%/3.6% in 1Q26, 6.3%/3.2% in 2Q25), substantially beating consensus of 6.0%/3.3% due to greater scale (sales +41% y-y), better mix, and well-controlled opex (only +5% y-y). Its cloud and networking revenue reached 51% of total sales in 2Q26, up 75% y-y, +16.6% q-q. For 3Q26E, HH expects AI racks to grow by high-double digits q-q, and reiterated its AI rack shipments to more than double in 2026E. HH maintained its guidance of doubling 800G switch shipments in 2026E, and its CPO switch will start mass production from 3Q26E, with likely over 10k shipments in 2026E.

Neoclouds, ASICs and nVidia CPO/NPO could bring upside to HH

nVidia platform: we believe HH continues to enjoy high market share in nVidia's (NVDA US, NR) module business for GB/VR modules/OAMs/switches and NIC cards. In addition to its major CSP customers – **Microsoft** (MSFT US, NR) and **Oracle** (ORCL US, NR) – we think HH will get VR200 orders from **Google** from 2H26F. We also believe HH could get more neocloud orders in the future. nVidia's strong commitment in optical scale-up from Rubin Ultra could also bring value upside in switch trays to HH and Wistron (3231 TT, Buy). **Google ASICs:** In addition to the **new Axion CPU tray** for the new TPU v8 from 2H26F, the new Boardfly **switches** from early-2027F, and its role of doing **TPU racks** since prior generations could help HH win TPU L6 orders when total TPU volume grows in 2027F. **AWS ASICs:** we believe HH will continue to be the major source for **AWS' (AMZN US, NR) Graviton CPU servers**.

Year-end 31 Dec		FY25		FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New	Old	New
Revenue (mn)	8,103,105	10,529,551	11,021,750	13,359,101	15,383,741	15,217,911	18,047,383		
Reported net profit (mn)	189,354	241,428	272,435	290,702	358,722	330,680	412,927		
Normalised net profit (mn)	189,354	241,428	272,435	290,702	358,722	330,680	412,927		
FD normalised EPS	13.61	17.21	19.42	20.72	25.57	23.57	29.43		
FD norm. EPS growth (%)	23.5	26.5	42.7	20.4	31.7	13.8	15.1		
FD normalised P/E (x)	19.8	–	13.9	–	10.6	–	9.2		
EV/EBITDA (x)	11.2	–	8.5	–	7.3	–	6.3		
Price/book (x)	2.1	–	1.9	–	1.8	–	1.5		
Dividend yield (%)	2.7	–	3.8	–	5.0	–	5.8		
ROE (%)	11.1	13.1	14.6	14.8	17.5	15.0	17.7		
Net debt/equity (%)	13.0	15.3	13.7	10.6	20.8	9.8	14.4		

Source: Company data, Nomura estimates

Rating Remains **Buy**

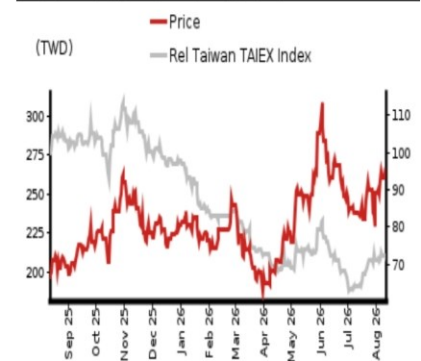
Target price Increased from TWD 352.00 **TWD 435.00**

Closing price 12 August 2026 **TWD 270.00**

Implied upside **+61.1%**

Market Cap (USD mn) 117,613.3
ADT (USD mn) 590.0

Relative performance chart



Source: LSEG, Nomura

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Key data on Hon Hai Precision Industry

Performance

(%)	1M	3M	12M		
Absolute (TWD)	13.7	8.0	37.1	M cap (USDmn)	117,613.3
Absolute (USD)	13.3	5.7	27.6	Free float (%)	62.9
Rel to Taiwan	14.2	0.3	-49.7	3-mth ADT (USDmn)	590.0
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	6,859,615	8,103,105	11,021,750	15,383,741	18,047,383
Cost of goods sold	-6,430,670	-7,604,944	-10,372,251	-14,585,153	-17,121,464
Gross profit	428,946	498,161	649,499	798,588	925,919
SG&A	-112,567	-117,233	-132,955	-156,815	-180,526
Employee share expense	-115,772	-121,705	-129,326	-154,862	-178,431
Operating profit	200,607	259,223	387,217	486,911	566,962
EBITDA	288,489	356,976	489,680	594,319	679,563
Depreciation	-84,290	-94,198	-98,908	-103,853	-109,046
Amortisation	-3,591	-3,555	-3,555	-3,555	-3,555
EBIT	200,607	259,223	387,217	486,911	566,962
Net interest expense	8,781	-7,087	-13,238	-9,677	-16,739
Associates & JCEs	3,887	20,015	9,844	12,000	12,000
Other income	-1,400	21,294	6,314	8,000	8,000
Earnings before tax	211,875	293,445	390,137	497,233	570,223
Income tax	-40,196	-78,410	-91,584	-127,011	-145,796
Net profit after tax	171,679	215,034	298,554	370,222	424,427
Minority interests	-18,974	-25,681	-26,119	-11,500	-11,500
Other items	0	0	0	0	0
Preferred dividends	0	0	0	0	0
Normalised NPAT	152,705	189,354	272,435	358,722	412,927
Extraordinary items	0	0	0	0	0
Reported NPAT	152,705	189,354	272,435	358,722	412,927
Dividends	-106,731	-100,932	-144,173	-189,837	-218,522
Transfer to reserves	45,974	88,422	128,262	168,886	194,405

Valuations and ratios

Reported P/E (x)	24.5	19.8	13.9	10.6	9.2
Normalised P/E (x)	24.5	19.8	13.9	10.6	9.2
FD normalised P/E (x)	24.5	19.8	13.9	10.6	9.2
Dividend yield (%)	2.8	2.7	3.8	5.0	5.8
Price/cashflow (x)	22.5	16.6	14.1	22.5	9.0
Price/book (x)	2.3	2.1	1.9	1.8	1.5
EV/EBITDA (x)	13.6	11.2	8.5	7.3	6.3
EV/EBIT (x)	19.5	15.1	10.7	8.9	7.5
Gross margin (%)	6.3	6.1	5.9	5.2	5.1
EBITDA margin (%)	4.2	4.4	4.4	3.9	3.8
EBIT margin (%)	2.9	3.2	3.5	3.2	3.1
Net margin (%)	2.2	2.3	2.5	2.3	2.3
Effective tax rate (%)	19.0	26.7	23.5	25.5	25.6
Dividend payout (%)	69.9	53.3	52.9	52.9	52.9
ROE (%)	9.7	11.1	14.6	17.5	17.7
ROA (pretax %)	6.6	7.4	9.0	9.5	9.5

Growth (%)

Revenue	11.3	18.1	36.0	39.6	17.3
EBITDA	15.0	23.7	37.2	21.4	14.3
Normalised EPS	-1.6	23.5	42.7	31.7	15.1
Normalised FDEPS	-1.6	23.5	42.7	31.7	15.1

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	288,489	356,976	489,680	594,319	679,563
Change in working capital	-102,364	-66,705	-112,526	-218,560	-100,738
Other operating cashflow	-20,096	-63,418	-107,708	-207,574	-160,008
Cashflow from operations	166,029	226,852	269,446	168,185	418,818
Capital expenditure	-131,335	-153,155	-203,696	-200,000	-150,000
Free cashflow	34,694	73,698	65,750	-31,815	268,818
Reduction in investments	-219,450	-189,029	0	0	0
Net acquisitions	50,739	37,495	0	0	0
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	37,534	-12,778	0	0	0
CF after investing acts	-96,483	-90,615	65,750	-31,815	268,818
Cash dividends	-83,134	-106,731	-100,932	-144,173	-189,837
Equity issue	0	0	0	0	0
Debt issue	-7,143	317,976	0	0	0
Convertible debt issue					
Others	-73,795	-41,298	0	0	0
CF from financial acts	-164,072	169,947	-100,932	-144,173	-189,837
Net cashflow	-260,555	79,332	-35,181	-175,988	78,981
Beginning cash	1,197,663	937,108	1,016,440	981,259	805,270
Ending cash	937,108	1,016,440	981,259	805,270	884,252
Ending net debt	-6,533	230,087	268,416	444,404	365,422

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	937,108	1,016,440	981,259	805,270	884,252
Marketable securities	378,711	580,364	598,831	598,831	598,831
Accounts receivable	1,141,418	1,181,307	1,529,909	2,018,865	2,236,718
Inventories	835,016	1,095,574	1,181,150	1,568,928	1,737,073
Other current assets	83,511	88,143	142,779	188,411	208,742
Total current assets	3,375,765	3,961,827	4,433,928	5,180,305	5,665,617
LT investments	406,269	447,044	818,940	1,327,404	1,970,050
Fixed assets	468,838	543,393	295,799	-82,528	-488,582
Goodwill	42,437	39,697	33,234	29,410	26,026
Other intangible assets					
Other LT assets	101,191	112,711	120,921	120,921	120,921
Total assets	4,394,500	5,104,672	5,702,821	6,575,512	7,294,032
Short-term debt	642,783	940,441	934,809	934,809	934,809
Accounts payable	1,133,052	1,331,933	1,610,660	2,139,447	2,368,736
Other current liabilities	398,982	438,475	536,036	711,054	787,357
Total current liabilities	2,174,818	2,710,849	3,081,505	3,785,310	4,090,902
Long-term debt	287,793	306,086	314,866	314,866	314,866
Convertible debt					
Other LT liabilities	80,301	116,975	134,604	134,604	134,604
Total liabilities	2,542,911	3,133,909	3,530,974	4,234,779	4,540,372
Minority interest	206,386	197,992	208,868	208,868	208,868
Preferred stock	0	0	0	0	0
Common stock	138,907	139,642	140,300	140,300	140,300
Retained earnings	1,137,552	1,230,265	1,345,341	1,478,354	1,849,988
Proposed dividends					
Other equity and reserves	368,742	402,864	477,338	513,211	554,503
Total shareholders' equity	1,645,202	1,772,772	1,962,979	2,131,865	2,544,792
Total equity & liabilities	4,394,500	5,104,672	5,702,821	6,575,512	7,294,032

Liquidity (x)

Current ratio	1.55	1.46	1.44	1.37	1.38
Interest cover	—	36.6	29.2	50.3	33.9

Leverage

Net debt/EBITDA (x)	net cash	0.64	0.55	0.75	0.54
Net debt/equity (%)	net cash	13.0	13.7	20.8	14.4

Per share

Reported EPS (TWD)	11.02	13.61	19.42	25.57	29.43
Norm EPS (TWD)	11.02	13.61	19.42	25.57	29.43
FD norm EPS (TWD)	11.02	13.61	19.42	25.57	29.43
BVPS (TWD)	118.58	127.38	139.91	151.95	181.38
DPS (TWD)	7.69	7.25	10.28	13.53	15.58

Activity (days)

Days receivable	53.6	52.3	44.9	42.1	43.2
Days inventory	44.4	46.3	40.1	34.4	35.3
Days payable	57.5	59.2	51.8	46.9	48.2
Cash cycle	40.5	39.5	33.2	29.6	30.3

Source: Company data, Nomura estimates

Company profile

Hon Hai is global no.1 EMS maker, with Apple, Amazon, Dell, HP, and Sony being its key customers. Hon Hai is conducting a 3+3 L-T strategy reform, aiming to enhance its vertical integration and business diversification into automotive, medical, and robotics.

Valuation Methodology

Our TP of TWD435 is based on 17x 2027F EPS of TWD25.57. Our target P/E multiple of 17x is above the high-end of Hon Hai's historical P/E range of 5-15x in the past 10 years. The benchmark index for this stock is Taiwan TAIEX.

Risks that may impede the achievement of the target price

Downside risks: 1) weaker-than-expected demand for Apple's products, 2) market share loss in Apple's products, 3) metal casing value declines more than expected, and 4) Apple's request of diversifying iPhone production sites outside of China.

ESG

Hon Hai's greenhouse gas emissions policies across the value chain are consistent with the goals of the Paris Agreement and the company aims to achieve the goal of net zero greenhouse gas emissions by 2050.

Fig. 1: Hon Hai – 2Q26 results

TWDMn	2Q26 results	Nomura estimates	Diff%	Consensus	Diff %	1Q26	q-q (%)	2Q25	y-y (%)
Total revenue	2,525,894	2,396,665	5.4	2,403,855	5.1	2,119,533	19.2	1,793,468	40.8
Gross profit	154,533	140,649	9.9	145,313	6.3	130,981	18.0	113,529	36.1
Operating profit	94,803	78,336	21.0	80,157	18.3	75,649	25.3	56,596	67.5
Pretax profit	94,866	77,276	22.8	85,339	11.2	74,031	28.1	65,149	45.6
Net profit	59,974	49,502	21.2	56,867	5.5	49,919	20.1	44,361	35.2
EPS (NT\$)	4.27	3.53		4.13		3.56		3.19	
			(ppts)		(ppts)				
Gross margin (%)	6.1	5.9	0.2	6.0	0.1	6.2	(0.1)	6.3	(0.2)
Operating margin (%)	3.8	3.3	0.5	3.3	0.4	3.6	0.2	3.2	0.6
Pretax margin (%)	3.8	3.2	0.5	3.6	0.2	3.5	0.3	3.6	0.1
Net margin (%)	2.4	2.1	0.3	2.4	0.0	2.4	0.0	2.5	(0.1)

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Earnings forecast revisions

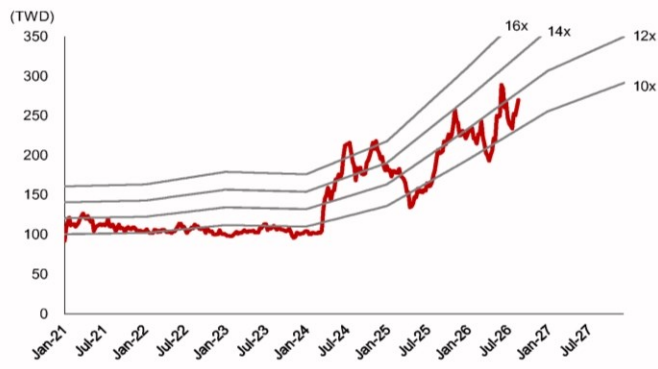
TWDMn	New forecasts			Previous forecasts			Change (%)		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	11,021,750	15,383,741	18,047,383	10,529,558	13,359,101	15,217,918	4.7	15.2	18.6
Gross profit	649,499	798,588	925,919	615,852	723,756	809,096	5.5	10.3	14.4
Operating profit	387,217	486,911	566,962	347,673	398,085	448,946	11.4	22.3	26.3
Pretax profit	390,137	497,233	570,223	346,036	405,708	459,229	12.7	22.6	24.2
Net profit	272,435	358,722	412,927	241,428	290,702	330,680	12.8	23.4	24.9
EPS (NT\$)	19.42	25.57	29.43	17.21	20.72	23.57			
Margins (%)									
Gross margin	5.9	5.2	5.1	5.8	5.4	5.3	0.0	(0.2)	(0.2)
Operating margin	3.5	3.2	3.1	3.3	3.0	3.0	0.2	0.2	0.2
Pretax margin	3.5	3.2	3.2	3.3	3.0	3.0	0.3	0.2	0.1
Net margin	2.5	2.3	2.3	2.3	2.2	2.2	0.2	0.2	0.1

Source: Nomura estimates

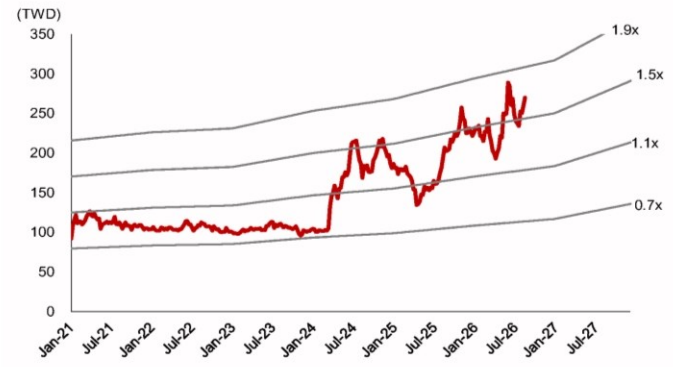
Fig. 3: Hon Hai – quarterly earnings forecasts

(TWDMn)	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26F	4Q26F	2026F	1Q27F	2Q27F	3Q27F	4Q27F	2027F	2028F
Net revenue	1,644,316	1,793,468	2,058,949	2,606,372	8,103,105	2,119,533	2,525,894	2,886,218	3,490,105	11,021,750	3,327,161	3,709,073	3,741,971	4,605,535	15,383,741	18,047,383
COGS	1,543,767	1,679,939	1,928,192	2,453,045	7,804,944	1,988,553	2,371,361	2,716,993	3,295,345	10,372,251	3,155,113	3,516,899	3,541,857	4,371,284	14,585,153	17,121,464
Gross profit	100,548	113,529	130,757	153,327	498,161	130,981	154,533	169,225	194,760	649,499	172,048	192,174	200,114	234,251	798,588	925,919
Op expenses	54,048	56,933	60,220	67,736	238,938	55,332	59,730	68,692	78,527	262,281	71,534	75,294	75,962	88,887	311,677	358,957
Op profit	46,500	56,596	70,536	85,591	259,223	75,649	94,803	100,533	116,233	387,217	100,514	116,880	124,152	145,364	486,911	566,962
Non-op profit	12,620	8,553	16,357	(3,309)	34,222	(1,617)	63	2,065	2,409	2,920	2,072	2,279	2,742	3,229	10,323	3,261
Pretax profit	59,120	65,149	86,893	82,282	293,445	74,031	94,866	102,598	118,642	390,137	102,587	119,159	126,894	148,594	497,233	570,223
Net profit	42,108	44,361	57,673	45,212	189,354	49,919	59,974	76,501	86,040	272,435	76,966	77,145	95,209	109,403	358,722	412,927
EPS (NT\$)	3.03	3.19	4.15	3.25	13.61	3.56	4.27	5.45	6.13	19.42	5.49	5.50	6.79	7.80	25.57	29.43
Operating ratios (%)																
Gross margin	6.1%	6.3%	6.4%	5.9%	6.1%	6.2%	6.1%	5.9%	5.6%	5.9%	5.2%	5.2%	5.3%	5.1%	5.2%	5.1%
Operating margin	2.8%	3.2%	3.4%	3.3%	3.2%	3.6%	3.8%	3.5%	3.3%	3.5%	3.0%	3.2%	3.3%	3.2%	3.2%	3.1%
Pre-tax profit margin	3.6%	3.6%	4.2%	3.2%	3.6%	3.5%	3.8%	3.6%	3.4%	3.5%	3.1%	3.2%	3.4%	3.2%	3.2%	3.2%
Net profit margin	2.6%	2.5%	2.8%	1.7%	2.3%	2.4%	2.4%	2.7%	2.5%	2.5%	2.3%	2.1%	2.5%	2.4%	2.3%	2.3%
Year-to-year (%)																
Net revenue	24%	16%	11%	22%	18%	29%	41%	40%	34%	36%	57%	47%	30%	32%	40%	17%
Gross profit	20%	14%	14%	17%	16%	30%	36%	29%	27%	30%	31%	24%	18%	20%	23%	16%
Operating profit	27%	27%	29%	33%	29%	63%	68%	43%	36%	49%	33%	23%	23%	25%	26%	16%
Pretax profit	82%	35%	28%	30%	38%	25%	46%	18%	44%	33%	39%	26%	24%	25%	27%	15%
Net profit	91%	27%	17%	-2%	24%	19%	35%	33%	90%	44%	54%	29%	24%	27%	32%	15%
Qtr-to-Qtr (%)																
Net revenue	-23%	9%	15%	27%		-19%	19%	14%	21%		-5%	11%	1%	23%		
Gross profit	-23%	13%	15%	17%		-15%	18%	10%	15%		-12%	12%	4%	17%		
Operating profit	-28%	22%	25%	21%		-12%	25%	6%	16%		-14%	16%	6%	17%		
Pretax profit	-7%	10%	33%	-5%		-10%	28%	8%	16%		-14%	16%	6%	17%		
Net profit	-9%	5%	30%	-22%		10%	20%	28%	12%		-11%	0%	23%	15%		

Source: Company data, Nomura estimates

Fig. 4: Hon Hai – forward P/E

Source: Company data, TEJ, Nomura estimates

Fig. 5: Hon Hai – forward P/B

Source: Company data, TEJ, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd., Taipei Branch (NITB), Taiwan.
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Hon Hai Precision Industry	2317 TT	TWD 270.00	12-Aug-2026	Buy	N/A	A1,A3

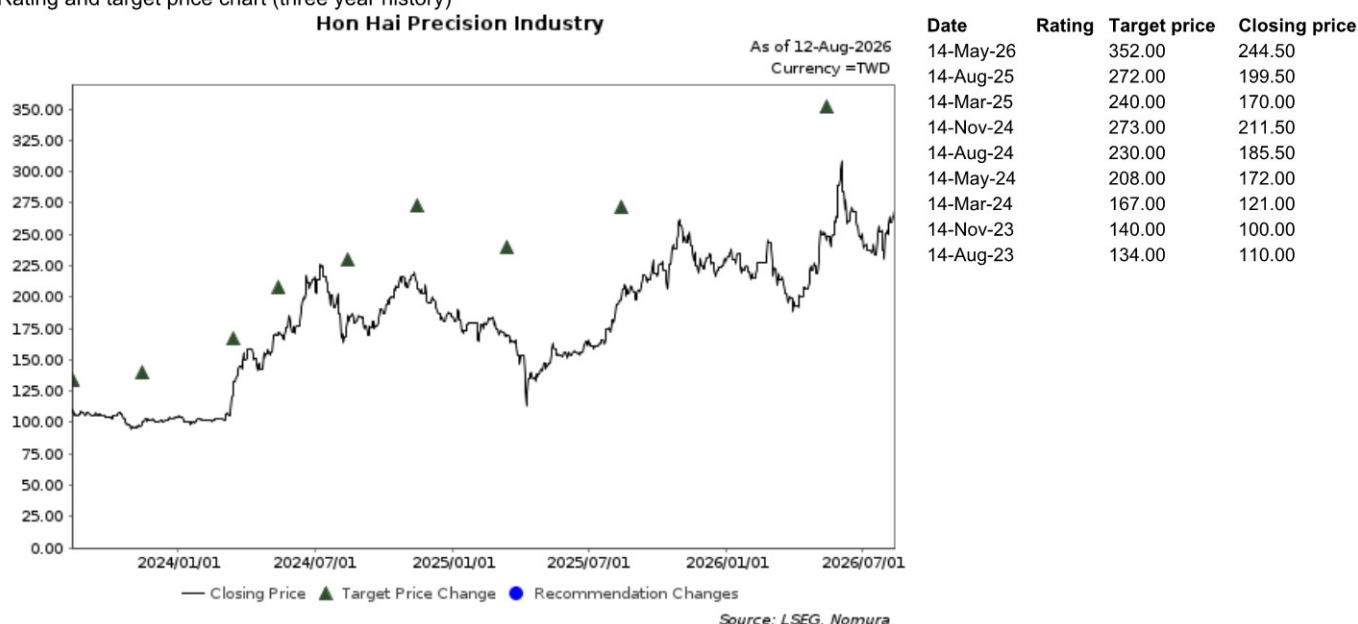
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Hon Hai Precision Industry (2317 TT)

TWD 270.00 (12-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD435 is based on 17x 2027F EPS of TWD25.57. Our target P/E multiple of 17x is above the high-end of Hon Hai's historical P/E range of 5-15x in the past 10 years. The benchmark index for this stock is Taiwan TAIEX.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for Apple's products, 2) market share loss in Apple's products, 3) metal casing value declines more than expected, and 4) Apple's request of diversifying iPhone production sites outside of China.

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As at 30 June 2026.

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** As defined by the EU Market Abuse Regulation

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